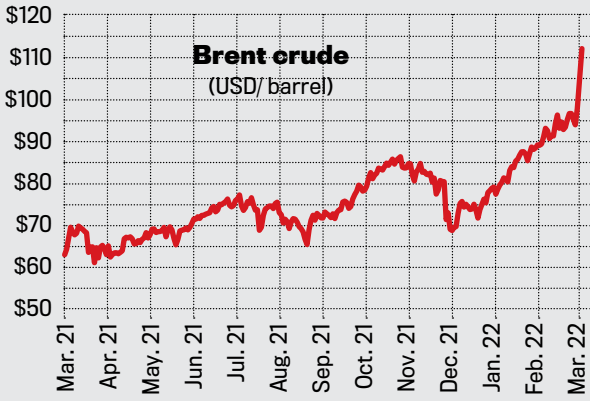
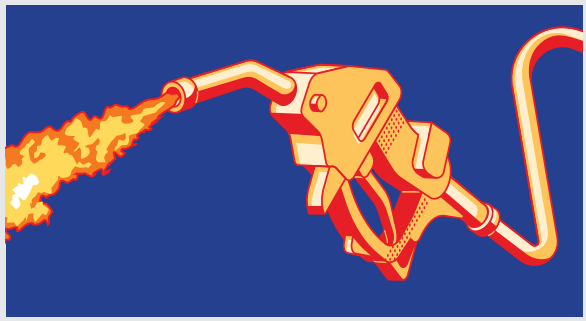


CRUDE AWAKENING

Prices touched $105/ barrel for the first time since 2014 as Russia launched its attack on Ukraine on Feb. 24. On Mar. 3, prices soared to $116/ barrel





THE OIL DEPENDENCY

Since India imports around 80 per cent of its crude oil needs, it is very vulnerable to price volatility

$94.3 billion

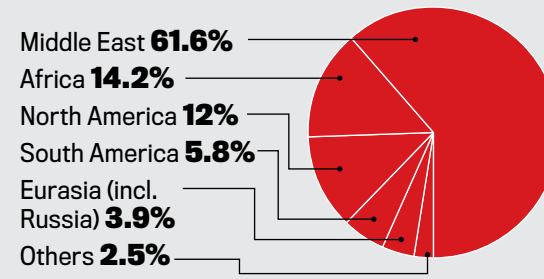
The value of India's crude oil imports from Apr. 2021 toJan. 2022 (175.9 million tonnes). Imports from Russia were worth $2 billion

$101.4 billion

The value of India's crude oil imports in 2019-20 (227 million tonnes)

SUPPLIER PIE

India's oil imports are mainly from the Middle East



(Source: GOI, Oilprice.com)

Graphics by TANMOY CHAKRABORTY



On February 28, after the first round of ceasefire talks between Ukraine and Russia failed, satellites revealed a 64 km-long convoy of Russian vehicles heading toward Ukraine's capital, Kyiv. News anchors described the scene as reminiscent of Europe during World War II, except that it was unfolding on millions of screens around the world in living colour. The death and devastation of WWII resulted in a new world order, as countries rebuilt their economies after the smoke cleared. A week into Russia's invasion of Ukraine, rumblings of a huge economic shake-up are being felt again, this time across a hugely interconnected globe with countries just limping out of yet another wave of the devastating pandemic. The economic consequences of Russia's invasion have been immediate, with crude oil now at its most expensive in eight years and global financial markets and trade reeling. The Indian economy, just barely back on its feet after a third bout with Covid, faces a difficult future.

Broadly, there are two aspects to the economic fallout of Russian aggression. The first is the direct repercussions, a major part of which stems from elevated oil prices. Russia is the world's third-largest producer and exporter of oil (after the US and Saudi Arabia), meeting 10 per cent of global demand. It is especially crucial in Europe, supplying 27 per cent of the oil and 40 per cent of the natural gas the region needs. In 2020, it exported some $66 billion (Rs 5 lakh crore) worth of fuels to the European Union (EU) alone, and it is a major player in OPEC+, which determines global oil prices. In the early days of the crisis, the price of Brent crude cleared $100 (Rs 7,580) per barrel, hitting $112.6 (Rs 8,535) on March 3. Some say it could touch $125 (Rs 9,475) if the crisis deepens.

That has an immediate effect on global trade, especially for net importing countries such as India, since pricier fuel raises costs across the board. Costly fuel also stokes inflation, which could force central banks to tighten interest rates, making loans—and economic activity—more expensive. Stock markets worldwide reacted to the invasion by crashing, wiping out billions in investor wealth. The damage does not end there. Russia is also a major supplier of industrial resources like iron and steel ($3.8 billion, or Rs 28,800 crore,